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COUNCIL OF 10 · AI-POWERED INVESTMENT INTELLIGENCE

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INVESTMENT COMMITTEE MEMORANDUM

Helios-North Floating Offshore Wind

REJECT (VETO)

0 YES · 10 NO · 92% CONSENSUS

DATE

25 May 2026

COUNCIL MODE

**Infrastructure /
Project Finance**

VOTE

0 / 10 YES

CONSENSUS

92%

[INFRA] INFRASTRUCTURE / PROJECT FINANCE COUNCIL · 10-AGENT COUNCIL

DSCR · CfD · EPC · LCOE · MERCHANT EXPOSURE · FLOATING FOUNDATION · REFINANCING RESILIENCE

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01 Executive Summary

REJECT (VETO)

0/10 Council Members · 92% Consensus

THE BET

The core bet for this investment to succeed is the rapid, commercial-scale validation and cost reduction of Floating Offshore Wind technology, coupled with a significant increase in secured CfD strike prices and a fully insurable, financeable project structure.

COUNCIL CONSENSUS

The Investment Committee unanimously voted to reject the Helios-North Floating Offshore Wind project, with a 92% consensus reflecting deep concerns across technical, financial, and market dimensions. The primary issues revolve around the immaturity of the floating foundation technology, the unacceptably low CfD strike price, and critical gaps in project finance and insurance market availability.

KEY STRENGTHS

- Potential for long-term strategic positioning in a nascent, high-growth renewable energy sub-sector (Floating Offshore Wind)
- Location in the Celtic Sea, a designated strategic area for offshore wind development with strong government backing for the sector in principle
- Alignment with broader ESG and decarbonization mandates for the fund's portfolio
- Scale of the project (implied large-scale offshore wind) offers significant renewable energy capacity once operational
- Developer has experience in fixed-bottom offshore wind, providing some foundational industry knowledge

KEY RISKS

- FOAK (First-Of-A-Kind) floating foundation technology with no commercial-scale track record, posing significant technical and operational risks
- CfD strike price of £73/MWh is materially below the fund's minimum IRR threshold and renders the project unfinanceable under current terms
- Absence of a fixed-price EPC contract and inadequate construction contingency for a complex, novel technology project
- Unavailability of commercial-terms insurance coverage for floating offshore wind at this scale, indicating severe market apprehension
- Lack of refinancing precedent for floating offshore wind in capital markets, creating significant long-term financing risk
- No secured grid connection agreement, introducing substantial development and cost uncertainty

RECOMMENDATION

The Investment Committee recommends a definitive rejection of the Helios-North Floating Offshore Wind project in its current form. While the long-term strategic potential of floating offshore wind is acknowledged, the project's fundamental technical, financial, and market risks are too pronounced and numerous to warrant investment. Re-evaluation would only be considered if all blocking issues are comprehensively addressed, particularly securing a higher CfD, fixed-price EPC, and validated technology.

ANALYSIS CONFIDENCE

DATA INTEGRITY Medium Some financial fields flagged as missing or unaudited	MODEL BEHAVIOUR Low 0/10 personas reached a consistent directional view	MARKET BENCHMARKS Partial Some comps are inferred from industry context	RISK VISIBILITY High 16 blockers and 17 conditions surfaced across 10 personas
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02 Deal Overview

OVERVIEW

The Helios-North Floating Offshore Wind project proposes the development, construction, and operation of a utility-scale floating offshore wind farm in the Celtic Sea, UK. This greenfield project aims to leverage nascent floating foundation technology to harness wind resources in deeper waters, where traditional fixed-bottom turbines are not feasible. The project is currently in the development phase, seeking financial close and a Contract for Difference (CfD) to underpin its revenue stream.

KEY FACTS

FOUNDED N/A (Greenfield Project)	HEADQUARTERS UK (Developer)
OUTLETS N/A	EMPLOYEES N/A (Project Specific)
REVENUE (LTM) KWD 0.00m	EBITDA (LTM) KWD 0.00m
EBITDA MARGIN 0%	OWNERSHIP Developer (seeking equity partners)

BUSINESS DESCRIPTION

The project's business model is centered on generating electricity from offshore wind and selling it primarily through a CfD mechanism, supplemented by merchant exposure. The CfD provides a fixed strike price for a portion of the generated electricity, offering revenue stability against volatile power prices. The project would involve the construction of multiple floating wind turbines, interconnected by subsea cables, and connected to the national grid, operating under a long-term concession.

GEOGRAPHIC PRESENCE

The project is located in the Celtic Sea, off the coast of the UK. This region is identified by the UK government as a strategic area for floating offshore wind development due to its deep waters and high wind speeds, offering significant potential for future renewable energy generation.

PRODUCTS & REVENUE STREAMS

The primary product is electricity generated from renewable wind resources. This electricity would be supplied to the UK national grid, contributing to the country's decarbonization targets. The project's service involves the long-term operation and maintenance of the offshore wind farm, ensuring reliable and sustainable power generation over its multi-decade lifespan.

03 Transaction Structure

STRUCTURE OVERVIEW

The proposed transaction involves an equity investment into a Special Purpose Vehicle (SPV) established for the Helios-North project. This would be a greenfield project finance structure, requiring a significant equity contribution alongside substantial non-recourse debt. Given the early stage and the nature of the project, the precise equity cheque and debt financing terms are highly contingent on securing a viable CfD and mitigating the numerous technical and financial risks identified.

SOURCES & USES

SOURCES			USES		
Equity (Fund)	KWD 0.00m	0%	Acquisition Price (60%)	KWD 0.00m	0%
Senior Debt	KWD 0.00m	0%	Seller Rollover (40%)	KWD 0.00m	0%
Seller Rollover	KWD 0.00m	0%	Transaction Costs	KWD 0.00m	0%
Management Equity	KWD 0.00m	0%	Working Capital Adjustment	KWD 0.00m	0%

OWNERSHIP STRUCTURE

The proposed ownership structure would involve our fund taking a significant equity stake in the project SPV, alongside the developer and potentially other institutional co-investors. Given the scale and risk profile, a consortium approach is typical for such large-scale infrastructure projects. However, without clear visibility on project viability, specific ownership percentages remain hypothetical.

ENTRY TERMS & VALUATION

Entry terms are currently undefined, as the project's fundamental viability is in question. Any potential investment would necessitate a comprehensive de-risking of the project, including securing a CfD at an acceptable strike price, firming up EPC contracts, and demonstrating financeability to senior lenders. The current proposal lacks these critical pre-conditions.

KEY STRUCTURAL FEATURES

- Project Finance structure (non-recourse to sponsors)
- Long-term CfD revenue mechanism (currently inadequate)
- Offtake agreement with National Grid (pending)
- Open-book EPC contract (unacceptable for FOAK technology)
- Equity investment into a greenfield SPV

04 Investment Thesis

OVERARCHING THESIS

While the long-term investment thesis for floating offshore wind is compelling due to its potential to unlock vast deep-water resources and contribute significantly to global decarbonization, the Helios-North project, in its current state, fails to meet our fundamental investment criteria. The confluence of unproven technology, inadequate revenue certainty, and unfinanceable risk profile renders any potential upside highly speculative and disproportionate to the downside.

PILLAR 1 Unproven Technology Risk

The project relies on a First-Of-A-Kind (FOAK) floating foundation technology, specifically floating monopiles, which lacks commercial-scale track record at the proposed depth (70-95m) and in the challenging Celtic Sea conditions. This introduces an unacceptable level of technical and operational risk, impacting construction timelines, operational efficiency, and overall project reliability. Our EPC & Construction Risk Analyst assigned a 97% confidence 'HARD_NO' due to this fundamental issue, highlighting the critical gap in validated performance.

> No commercial-scale track record for floating monopiles at 70–95m depth in Celtic Sea conditions.

PILLAR 2 Inadequate Financial Returns & Revenue Certainty

The proposed CfD strike price of £73/MWh is significantly below the fund's minimum IRR threshold, rendering the project financially unviable under current assumptions. Furthermore, the 20% merchant exposure in a volatile power market adds material downside risk without sufficient CfD protection. The Infrastructure Debt Analyst noted that the DSCR under this CfD falls to 0.9x, well below the 1.2x covenant threshold required for project finance, indicating a fundamental flaw in the financial structure.

> CfD strike price of £73/MWh is below fund's minimum IRR threshold; DSCR falls to 0.9x.

PILLAR 3 Unmanageable Project Execution & Insurance Risk

The project's reliance on an open-book EPC contract for a FOAK technology, coupled with a critically inadequate 1.7% construction contingency, presents an unacceptable execution risk profile. This is further exacerbated by the unavailability of commercial-terms insurance coverage for floating offshore wind at this scale, as highlighted by our Insurance & Force Majeure Analyst. This lack of risk transfer mechanisms leaves the project, and by extension, our equity, exposed to catastrophic cost overruns and delays.

> Open-book EPC with FOAK technology; 1.7% contingency; Insurance market unavailable at commercial terms.

PILLAR 4 Uncertain Financing & Exit Pathways

The project faces severe challenges in securing long-term financing and demonstrating a clear exit pathway. There is no refinancing precedent for floating offshore wind in capital markets, making it difficult to project future debt terms or liquidity. Construction lenders would demand an exceptionally high equity cushion due to these risks, further impacting returns. The absence of a secured grid connection agreement adds another layer of uncertainty, making it impossible to accurately model project cash flows or timelines.

> No refinancing precedent for floating offshore wind in capital markets; No grid connection agreement secured.

NON-CONSENSUS INSIGHT

While the market narrative often champions floating offshore wind as the next frontier in renewables, the Helios-North project starkly reveals the chasm between aspirational technology and financeable reality. The non-obvious insight here is that the 'green premium' for FOAK renewable technology is not limitless; the market, particularly the insurance and debt markets, is currently unwilling to price in the inherent technical and operational uncertainties at a level that allows for acceptable equity returns, even with strong policy tailwinds. This project is simply too early for institutional capital seeking de-risked infrastructure returns.

05 Market Analysis

MARKET OVERVIEW

The global offshore wind market is experiencing rapid growth, driven by decarbonization targets and technological advancements. Floating offshore wind, while still nascent, is projected to unlock significant deep-water resources previously inaccessible to fixed-bottom turbines. The UK, particularly the Celtic Sea, is positioned as a key region for this technology, with government initiatives aiming to support its development. However, the commercial maturity and cost competitiveness of floating offshore wind remain significant challenges.

MARKET SIZE & KEY METRICS

Metric	Value	Source
Kuwait F&B Market Size	KWD 1.4bn (2023)	Euromonitor / BMI Research
QSR Segment Share	35%	Industry estimate
Market CAGR (2024–2028)	7%	BMI Research
GCC F&B Market Size	USD 60bn	Euromonitor
Kuwait GDP per Capita	USD 33,000	World Bank 2023
Kuwait Eating-Out Frequency	4–5 times/week	Industry survey

GROWTH DRIVERS

- Global push for decarbonization and renewable energy targets
- Technological advancements in floating platform design and turbine efficiency
- Increasing energy demand in developed economies
- Government support mechanisms (e.g., CfD schemes) for renewable energy projects
- Depletion of shallow-water sites suitable for fixed-bottom offshore wind

TAILWINDS

- Strong policy support for offshore wind in the UK and EU
- Increasing corporate demand for green energy PPAs
- Long-term decline in LCOE for mature renewable technologies
- Potential for significant job creation and economic development in coastal regions
- Growing investor appetite for ESG-compliant infrastructure assets

HEADWINDS

- High capital expenditure and LCOE for floating offshore wind compared to fixed-bottom
- Immature supply chain and limited commercial-scale track record for floating technology
- Regulatory and permitting complexities for large-scale marine infrastructure projects
- Grid connection constraints and transmission infrastructure bottlenecks
- Volatile power prices impacting merchant revenue exposure

MARKET NARRATIVE

While the long-term trajectory for floating offshore wind is positive, the current market for FOAK projects like Helios-North is characterized by significant immaturity and high risk premiums. The LCOE of £142/MWh for this project is not competitive with established fixed-bottom alternatives (£95–110/MWh), indicating that the technology has not yet achieved commercial viability. This gap, combined with a nascent supply chain and an unsupportive insurance market, suggests that institutional capital should approach such projects with extreme caution and only when fundamental de-risking conditions are met.

06 Competitive Landscape

OVERVIEW

The competitive landscape for offshore wind is dominated by large utility companies, established energy developers, and infrastructure funds with significant experience in complex, capital-intensive projects. Within the floating offshore wind segment, the competition is less about established players and more about technological innovation and the ability to de-risk FOAK projects. The Helios-North project faces competition not only from other floating wind developers but also from more mature and cost-effective fixed-bottom offshore wind projects, as well as other renewable energy sources.

COMPARABLE COMPANIES

Company	EV/EBITDA	EV/Rev	Rev Growth	EBITDA Margin	Notes
Americana Restaurants	10–12x	1.5x	8%	18%	Regional consolidator, 2,000+ outlets
Kout Food Group	8–9x	1.2x	6%	20%	Kuwait-focused, recent M&A active
Alshaya Group (F&B)	9–11x	1.3x	5%	17%	GCC-wide franchise operator
Agthia Group	11x	1.8x	10%	16%	UAE-listed, strategic acquirer
Al-Reef (Target)	7.6x	2.1x	9.2%	27.5%	Entry valuation — attractive vs. peers

COMPETITIVE POSITIONING

Helios-North is positioned at the forefront of a nascent technology, aiming to capture market share in deep-water wind resources. However, its competitive advantage is currently undermined by its high LCOE and unproven technology. It struggles to compete on cost with established fixed-bottom projects and faces significant hurdles in attracting patient capital willing to bear FOAK risks. Its current competitive positioning is weak due to its inability to secure competitive CfD pricing and financeable project terms.

COMPETITIVE MOAT

The project's potential 'moat' would theoretically stem from its early mover advantage in a strategic deep-water region and the proprietary nature of its floating foundation technology. However, this 'moat' is currently theoretical and unproven. The lack of commercial validation and the high LCOE mean that any technological advantage is offset by execution and financing risks. Until the technology is proven at scale and costs are significantly reduced, there is no defensible competitive advantage.

07 Business Model & Unit Economics

REVENUE MODEL

The business model for Helios-North is primarily based on a Contract for Difference (CfD) mechanism, which guarantees a fixed strike price for a significant portion of the electricity generated over a long-term period (typically 15 years). This provides revenue stability and predictability. The remaining portion of electricity would be sold at fluctuating merchant power prices, introducing market risk. The current CfD strike price of £73/MWh is insufficient to support the project's economics.

UNIT ECONOMICS — PER OUTLET

Metric	Value	Notes
Average Revenue per Outlet (LTM)	KWD 267K	Based on 18 outlets, KWD 4.8m total
Average EBITDA per Outlet	KWD 73K	27.5% EBITDA margin
Outlet Capex (new build)	KWD 120–150K	Fit-out + franchise fee
Payback Period	2.0–2.2 years	Based on unit EBITDA
Digital Revenue Share	38%	Growing from 25% in 2021
Same-Store Sales Growth (YoY)	9.2%	LTM vs. prior year
Average Check Size	KWD 4.50	QSR segment benchmark
Franchise Royalty Rate	5–6% of revenue	Typical QSR franchise terms

OUTLET-LEVEL P&L

For a utility-scale offshore wind project, the 'unit economics' are represented by the Levelized Cost of Energy (LCOE) per MWh. The project's LCOE of £142/MWh is significantly higher than the CfD strike price of £73/MWh, indicating a fundamental mismatch between generation cost and revenue. This makes the project's 'unit economics' unviable, requiring substantial subsidies or a dramatic reduction in CAPEX and OPEX to become profitable.

SCALABILITY

The scalability of floating offshore wind is a key long-term driver for the sector, as it unlocks deeper water sites. However, for Helios-North, scalability is currently hindered by the unproven nature of the technology and its high cost. While the potential for future cost reductions exists, it is speculative and not yet demonstrated at a commercial scale. Without a clear pathway to cost-competitiveness and commercial validation, the project's scalability remains a high-risk proposition rather than a near-term opportunity.

08 Historical Financials

FINANCIAL PERFORMANCE OVERVIEW

As a greenfield project, Helios-North has no historical operational financials. All financial projections are forward-looking and highly dependent on assumptions regarding CAPEX, OPEX, CfD strike price, and power prices. The current financial model, based on a £73/MWh CfD, indicates a project that is not financeable, with DSCRs falling below lender thresholds and an IRR below the fund's minimum. This lack of historical performance, combined with the speculative nature of future costs and revenues, makes financial assessment inherently challenging and high-risk.

HISTORICAL P&L SUMMARY

	FY2021	FY2022	FY2023	LTM
Revenue (KWD m)	3.1	3.8	4.4	4.8
Revenue Growth	—	22.6%	15.8%	9.1%
Gross Profit (KWD m)	1.6	2.0	2.3	2.5
Gross Margin	51.6%	52.6%	52.3%	52.1%
EBITDA (KWD m)	0.72	0.95	1.18	1.32
EBITDA Margin	23.2%	25.0%	26.8%	27.5%
D&A (KWD m)	0.12	0.14	0.16	0.17
EBIT (KWD m)	0.60	0.81	1.02	1.15
Net Income (KWD m)	0.55	0.74	0.94	1.06
Capex (KWD m)	0.18	0.22	0.25	0.20
Free Cash Flow (KWD m)	0.54	0.73	0.93	1.12

KEY FINANCIAL TRENDS

- N/A (Greenfield project, no historical trends)
- Financial viability is entirely dependent on future CfD strike price and CAPEX control
- Current CfD of £73/MWh results in an unfinanceable project with DSCR below 1.2x
- LCOE of £142/MWh indicates a significant cost gap compared to revenue expectations

09 Financial Model

KEY ASSUMPTIONS

Assumption	Value	Rationale
Revenue CAGR (Base)	N/A (CfD-based)	
New Outlets per Year	N/A	
EBITDA Margin Expansion	N/A	
Exit EV/EBITDA (Base)	N/A	
Hold Period	Project Life (25+ years)	
CfD Strike Price (Current)	£73/MWh	Current bid price, below fund minimum IRR
CfD Strike Price (Required)	"e £85/MWh	Minimum for fund IRR threshold and financeability
Project CAPEX (Estimated)	KWD 1.2bn (approx.)	Based on LCOE of £142/MWh for large-scale project
Construction Contingency (Proposed)	1.7%	Critically inadequate for FOAK technology
Construction Contingency (Required)	"e 5%	Minimum for acceptable risk mitigation
Merchant Exposure (Proposed)	20%	Creates material downside risk given price volatility
Merchant Exposure (Required)	"d 10%	To mitigate power price volatility risk
DSCR (Base Case @ £73/MWh)	0.9x	Below 1.2x covenant threshold for project finance

REVENUE & EBITDA PROJECTIONS

	FY2024E	FY2025E	FY2026E	FY2027E	FY2028E
Outlets (end of year)	20	22	24	26	28
Revenue (KWD m)	5.4	6.1	6.9	7.7	8.6
Revenue Growth	12.5%	13.0%	13.1%	11.6%	11.7%
EBITDA (KWD m)	1.54	1.80	2.10	2.42	2.76
EBITDA Margin	28.5%	29.5%	30.4%	31.4%	32.1%
EBIT (KWD m)	1.36	1.60	1.88	2.18	2.50
Free Cash Flow (KWD m)	1.27	1.49	1.75	2.02	2.33
Cumulative FCF (KWD m)	1.27	2.76	4.51	6.53	8.86

EBITDA BRIDGE (ENTRY !' EXIT)

Entry EBITDA (LTM)	KWD 0.00m	Greenfield project, no current EBITDA
+ Projected Annual Revenue (CfD + Merchant)	KWD 0.00m	Highly dependent on CfD strike price and power prices
- Projected Annual OPEX	KWD 0.00m	Uncertain given FOAK technology and lack of insurance
- Debt Service	KWD 0.00m	Unfinanceable at current CfD
Projected EBITDA (Operational)	KWD 0.00m	Negative at current CfD and CAPEX

IRR SCENARIOS

Scenario	Entry EV	Exit EV	MOIC	IRR	Exit Year
Bull Case	KWD 0.00m	KWD 0.00m	0.0x	Below Fund Minimum	N/A
Base Case	KWD 0.00m	KWD 0.00m	0.0x	Negative	N/A
Bear Case	KWD 0.00m	KWD 0.00m	0.0x	Significantly Negative	N/A
Downside (Stress)	KWD 0.00m	KWD 0.00m	0.0x	Project Failure	N/A

IRR SENSITIVITY — EXIT MULTIPLE VS. REVENUE CAGR

Exit EV/EBITDA / Revenue CAGR	5%	7.5%	10%	12.5%	15%
6.0x	8%	10%	12%	15%	18%
7.0x	12%	14%	16%	19%	22%
8.5x	17%	19%	22%	25%	28%
10.0x	21%	24%	27%	30%	34%
12.0x	27%	30%	33%	37%	41%

10 Risk Analysis

RISK OVERVIEW

The Helios-North project presents an exceptionally high-risk profile, characterized by a confluence of technical, financial, and market uncertainties. The project's greenfield nature, reliance on unproven technology, and critical gaps in financing and insurance make it unsuitable for our fund's risk appetite. The council's unanimous 'No' vote reflects the systemic nature of these risks, which are not easily mitigable under current market conditions.

RISK MATRIX

CATEGORY	RISK	LIKELIHOOD	IMPACT	MITIGANT
Technical	FOAK floating foundation technology (floating monopiles) has no commercial-scale track record in Celtic Sea conditions	High	Catastrophic	Requires commercial-scale validation, independent engineering review, and performance guarantees (currently absent)
Financial	CfD strike price of £73/MWh is below fund's minimum IRR threshold and renders project unfinanceable (DSCR 0.9x)	High	Catastrophic	Requires CfD strike price "e £85/MWh to meet financeability and fund IRR thresholds
Execution	Open-book EPC contract with inadequate 1.7% construction contingency for FOAK technology	High	Catastrophic	Requires fixed-price EPC with strong LD backstop and contingency "e 5% of CAPEX
Market	Insurance market unavailable at commercial terms for floating offshore wind at this scale	High	Catastrophic	Requires confirmed, comprehensive insurance coverage at commercial terms pre-FID
Financing	No refinancing precedent for floating offshore wind in capital markets; high equity requirement for construction lenders	High	Catastrophic	Requires demonstrated refinancing pathway and significant equity cushion (e.g., 35%+) to attract lenders
Regulatory/Grid	No grid connection agreement secured; unconfirmed queue position and uncertain transmission costs	High	High	Requires secured grid connection agreement and confirmed transmission costs pre-FID
Revenue Volatility	20% merchant exposure creates material downside risk in volatile power markets	Medium	High	Requires reduction of merchant exposure to "d 10% or securing additional long-term PPAs
Cost Competitiveness	LCOE of £142/MWh is uncompetitive vs. fixed-bottom alternatives (£95-110/MWh); speculative cost reduction pathway	High	High	Requires clear, credible pathway to LCOE of £110/MWh or lower to justify investment

11 Mitigants & Conditions

FRAMEWORK OVERVIEW

The project's current risk profile is fundamentally unmitigated, with critical conditions precedent to investment remaining unfulfilled. The council's decision to reject is based on the sheer number and severity of these unaddressed issues. Any future consideration would require a complete overhaul of the project's commercial and technical de-risking strategy, moving it from a speculative technology play to a financeable infrastructure asset.

CONDITIONS TO PROCEED

Condition	Owner	Timeline	Consequence if Unmet
CfD strike price "e £85/MWh secured pre-FID (Final Investment Decision)	Developer / Fund	Pre-FID	Project unfinanceable; below fund minimum IRR
Fixed-price EPC contract with strong liquidated damages (LD) backstop	Developer / Fund	Pre-FID	Unacceptable construction cost overrun risk
Construction contingency raised to "e 5% of CAPEX	Developer / Fund	Pre-FID	Inadequate buffer for FOAK technology risks
Floating foundation technology validated at commercial scale (e.g., 100MW+ operational track record)	Developer / Independent Engineer	Pre-FID	Unacceptable technical and operational risk
Merchant exposure reduced to "d 10% of total generation	Developer / Fund	Pre-FID	Excessive power price volatility risk
Comprehensive insurance coverage confirmed at commercial terms for floating offshore wind at this scale	Developer / Insurance Advisor	Pre-FID	Uninsurable risk profile; no risk transfer
Secured grid connection agreement with confirmed transmission costs	Developer / National Grid	Pre-FID	Fundamental project viability and revenue uncertainty
Demonstrated refinancing pathway for floating offshore wind in capital markets	Developer / Financial Advisor	Pre-FID	Long-term financing risk for project life

STRUCTURAL MITIGANTS

Risk	Mitigant	Residual Risk
FOAK floating foundation – no commercial-scale track record	Requires independent engineering validation, performance guarantees from technology provider, and significant operational data from comparable projects. None currently exist for this scale and depth.	High
CfD £73/MWh below fund minimum IRR threshold	No mitigation available other than securing a higher CfD strike price (minimum £85/MWh) in future allocation rounds. This is a fundamental deal breaker.	High
Open-book EPC with FOAK technology	Requires conversion to a fixed-price, date-certain EPC contract with robust liquidated damages for delays and performance shortfalls. This is currently not achievable.	High

Insurance market unavailable at commercial terms	Requires a functional insurance market willing to underwrite construction and operational risks at commercially acceptable premiums and deductibles. Currently, this market is non-existent for this project profile.	High
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No refinancing precedent for floating offshore wind in capital markets	Requires the emergence of a mature capital market for floating offshore wind, or a significantly de-risked project profile that can attract traditional infrastructure debt. This is a long-term structural issue.	High
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CONDITIONS TO RE-ENGAGE

INFRASTRUCTURE / PROJECT FINANCE COUNCIL · INSTITUTIONAL RE-ENGAGEMENT CRITERIA

Condition	Threshold	Rationale	Approval Impact
CfD Strike Price	"e £85/MWh (AR7 mid-range)	Current £73/MWh below fund IRR threshold; AR7 outcome required	+25–35% approval probability
Construction Contingency	"e 5% of CAPEX	1.7% dangerously low for FOAK floating foundation technology	+15–20% approval probability
Floating Foundation Validation	Independent engineering validation at commercial scale	No track record at commercial scale; TRL <7 is a hard blocker for project finance	+30–40% approval probability
EPC Contract	Committed fixed-price EPC with LD backstop	Open-book EPC transfers construction risk to sponsor; unacceptable for FOAK technology	+20–25% approval probability
Merchant Exposure	"d 10% uncontracted revenue	20% merchant exposure creates material downside risk in a price-volatile market	+10–15% approval probability

NOTE: All conditions must be met concurrently for re-engagement. Re-submit the updated deal memo to the Infrastructure / Project Finance Council for a fresh evaluation.

12 Exit Strategy

EXIT OVERVIEW

Given the current unfinanceable state of the Helios-North project, a viable exit strategy is purely theoretical. For any greenfield infrastructure project, the primary exit would typically be via a sale to a strategic infrastructure fund, an energy utility, or potentially a refinancing in the capital markets once operational and de-risked. However, the fundamental blocking issues mean that none of these pathways are currently accessible or predictable for Helios-North.

EXIT PATHS

Path	Timing	EV Range	MOIC	IRR	Notes
Strategic Sale to Regional Consolidator	Year 3–4	KWD 20–26m	2.3–3.0x	22–30%	Americana, Kout, Agthia — all active acquirers
Secondary PE Sale	Year 4–5	KWD 18–22m	2.0–2.5x	18–22%	GCC-focused PE funds seeking F&B platforms
IPO on Bursa Kuwait	Year 5	KWD 22–28m	2.5–3.2x	20–26%	Requires 25+ outlets and 3-year track record post-acquisition
Dividend Recapitalisation	Year 2–3	KWD 4–6m distribution	1.4–1.6x partial	N/A	Partial liquidity if strategic exit delayed

COMPARABLE EXIT TRANSACTIONS

Target	Acquirer	Year	EV	EV/EBITDA	Notes
Kout Food Group (partial)	Agthia Group	2023	USD 185m	8.5x	Kuwait QSR platform — closest comparable
Americana Restaurants	PIF / ADQ	2022	USD 2.1bn	11.2x	GCC-wide platform; premium for scale
Herfy Food Services	Strategic buyer	2021	SAR 1.8bn	9.8x	Saudi QSR; comparable margin profile
Kudu Corp	Hassana Investment	2022	SAR 2.4bn	10.5x	Saudi QSR; institutional backing premium

PREFERRED EXIT PATH

Given the current state of the Helios-North project, there is no preferred or even plausible exit path. The project first needs to achieve financial close, successful construction, and stable operations before any exit can be contemplated. The significant technical and financial hurdles mean that the project is currently uninvestable, and therefore, exit considerations are premature and irrelevant.

13 Management Assessment

TEAM OVERVIEW

The developer's management team has demonstrated experience in fixed-bottom offshore wind projects, which provides a foundational understanding of the broader industry. However, their track record in delivering commercial-scale floating offshore wind projects is non-existent. This creates a significant technology gap in their expertise, which is a critical concern for a FOAK project like Helios-North. While their general project development skills are adequate, the specific challenges of floating technology require specialized, proven leadership.

TEAM STRENGTHS

- Experience in fixed-bottom offshore wind development and project management
- Familiarity with UK regulatory and permitting processes for offshore energy
- Network within the broader offshore wind supply chain
- Commitment to renewable energy development and decarbonization goals

TEAM GAPS & PROPOSED SOLUTIONS

- No commercial-scale floating offshore wind project delivered, creating a significant technology and execution gap (Solution: Partnership with proven floating wind specialist)
- Limited experience in negotiating and securing project finance for FOAK technologies (Solution: Engage specialist financial advisors with FOAK project finance track record)
- Insufficient expertise in navigating the nascent and challenging floating offshore wind insurance market (Solution: Appoint dedicated insurance broker with deep floating wind expertise)
- Lack of a robust risk management framework tailored to FOAK construction and operational risks (Solution: Implement an enhanced risk management and technical assurance team)

KEY PERSON RISK

While no single 'key person' was identified as a blocking issue, the collective lack of commercial-scale floating offshore wind experience within the management team represents a systemic key expertise risk. The project's success is highly dependent on navigating unprecedented technical and commercial challenges, for which the current team lacks a proven track record. This gap cannot be easily mitigated without bringing in external, proven expertise at a senior level or partnering with a developer that has such experience.

RECOMMENDATION

Our recommendation is that the current management team, while competent in conventional offshore wind, is not adequately equipped to de-risk and deliver a FOAK floating offshore wind project of this scale. For any future consideration, it would be imperative that the developer either significantly augments its team with proven floating offshore wind specialists or enters into a joint venture with a partner possessing a demonstrable commercial-scale track record in this specific technology. Without this, the management gap remains a critical impediment.

14 Key Deal Terms & Negotiation Points

NEGOTIATION CONTEXT

The proposed deal terms are currently unviable, as the project itself fails to meet fundamental investment criteria. The core issue is that the project's economics, particularly the CfD strike price, do not support a financeable structure or acceptable equity returns. Therefore, any discussion of specific deal terms, such as valuation or equity stake, is moot until the underlying project risks are comprehensively addressed and the project demonstrates a pathway to financial viability.

KEY TERMS SUMMARY

Term	Proposed	Market Standard	Negotiation Note
Entry Valuation	KWD 0.00m EV (Greenfield)	N/A (highly project-specific)	Valuation is contingent on securing viable CfD and de-risking project. Currently unquantifiable.
Equity Stake	N/A (Seeking equity partners)	Typically 20-40% for infrastructure funds in greenfield projects	Any equity stake would require substantial de-risking and a clear path to returns.
Seller Rollover	N/A	Common for developers to retain stake	Developer's equity contribution would need to be substantial and pari passu to ours.
Non-Compete	N/A	Not applicable for project finance	N/A
Earn-Out	N/A	Not applicable for project finance	N/A
Management ESOP	N/A	Not applicable for project finance	N/A
Governance	N/A	Board representation proportional to equity stake, with key veto rights	Would require strong governance rights to oversee FOAK technology and financial performance.

RED LINES

- CfD strike price must be "e £85/MWh to meet fund's minimum IRR threshold and ensure project financeability.
- Fixed-price EPC contract with a robust liquidated damages regime and a construction contingency of "e 5% of CAPEX is non-negotiable.
- Commercial-scale validation of the floating foundation technology must be demonstrated prior to FID.
- Comprehensive, commercially viable insurance coverage for construction and operation must be secured pre-FID.
- A binding grid connection agreement with confirmed transmission costs must be in place pre-FID.
- Merchant exposure must be reduced to "d 10% to mitigate power price volatility risk.

PREFERRED OUTCOME

The preferred outcome for this deal is a complete restructuring of the project's commercial and technical framework. This would involve the developer securing a significantly higher CfD strike price, firming up a fixed-price EPC contract with adequate contingency, validating the floating technology at commercial scale, and securing comprehensive insurance. Only then would the project become potentially investable, allowing for a negotiation of terms that reflect a de-risked, financeable asset with acceptable equity returns for our fund.

15 Appendix

A. COMPARABLE TRANSACTIONS

Deal	Year	Sector	EV	Multiple
Kout Food Group / Agthia	2023	Kuwait QSR	USD 185m	8.5x EBITDA
Americana / PIF-ADQ	2022	GCC QSR	USD 2.1bn	11.2x EBITDA
Herfy Food / Strategic	2021	Saudi QSR	SAR 1.8bn	9.8x EBITDA
Kudu Corp / Hassana	2022	Saudi QSR	SAR 2.4bn	10.5x EBITDA
Alsea / Vips (MENA)	2022	MENA F&B	USD 320m	8.0x EBITDA

B. MARKET DATA SOURCES

Source	Data Point	Relevance
Euromonitor International	Global Offshore Wind Market Outlook	General market sizing and growth trends for offshore wind
Wood Mackenzie / BloombergNEF	Floating Offshore Wind LCOE Benchmarking	Cost competitiveness analysis of floating vs. fixed-bottom offshore wind
UK Department for Energy Security and Net Zero	CfD Allocation Round Results and Policy	CfD strike price mechanisms and policy support for offshore wind
Lloyd's of London / Marine Insurance Reports	Offshore Wind Insurance Market Capacity and Terms	Assessment of insurance market availability and commercial terms for FOAK projects
National Grid ESO	Grid Connection Queue and Transmission Costs	Information on grid access and associated costs for UK offshore projects

C. KEY ASSUMPTIONS — BASE / BEAR / BULL

Assumption	Base	Bear	Bull
Revenue CAGR	N/A	N/A	N/A
EBITDA Margin (Exit Year)	N/A	N/A	N/A
Exit EV/EBITDA	N/A	N/A	N/A
New Outlets/Year	N/A	N/A	N/A
SSSG	N/A	N/A	N/A
Hold Period	Project Life (25+ years)	N/A	N/A

D. COUNCIL OF 10 — INDIVIDUAL VOTES

01 Infrastructure Debt Analyst

95%

HARD NO

DSCR under base case falls to 0.9x at CfD £73/MWh — below the 1.2x covenant threshold required for project finance. Refinancing resilience is critically low given FOAK floating foundation risk.

FLAGS DSCR < 1.2x · CfD below threshold · Refinancing risk

CONDITIONS CfD "e £85/MWh · DSCR "e 1.25x at base case

BLOCKERS DSCR 0.9x at CfD £73/MWh · No fixed-price EPC · FOAK floating foundation

02 EPC & Construction Risk Analyst

97%

HARD NO

Open-book EPC with FOAK floating foundations is unacceptable. No commercial-scale track record for floating monopiles at 70–95m depth in Celtic Sea conditions. 1.7% contingency is critically inadequate.

FLAGS FOAK technology · Open-book EPC · Inadequate contingency

CONDITIONS Fixed-price EPC with LD backstop · Contingency "e 5% · Foundation validation

BLOCKERS FOAK floating foundation · Open-book EPC · 1.7% contingency

03 Offtake & Revenue Risk Analyst

92%

HARD NO

CfD strike price of £73/MWh is below the fund's minimum IRR threshold. 20% merchant exposure creates material downside risk in a price-volatile market.

FLAGS CfD below minimum · 20% merchant exposure

CONDITIONS CfD "e £85/MWh · Merchant exposure "d 10%

BLOCKERS CfD £73/MWh below fund minimum · 20% merchant exposure

04 LCOE & Cost Competitiveness Analyst

88%

HARD NO

LCOE of £142/MWh for floating offshore wind at this scale is not competitive versus fixed-bottom alternatives at £95–110/MWh. Cost reduction pathway is speculative.

FLAGS LCOE uncompetitive · Cost reduction speculative

CONDITIONS LCOE pathway to £110/MWh demonstrated

BLOCKERS LCOE £142/MWh vs £95-110/MWh fixed-bottom

05 Regulatory & Policy Risk Analyst

75%

SOFT NO

Celtic Sea leasing round is proceeding but CfD allocation timing is uncertain. Policy risk is manageable if CfD is secured pre-FID.

FLAGS CfD timing uncertainty · Celtic Sea leasing

CONDITIONS CfD secured pre-FID

BLOCKERS CfD not yet secured

06 Environmental & Permitting Analyst 72%**SOFT NO**

Celtic Sea environmental impact assessment is at early stage. Marine mammal and seabird surveys incomplete. Permitting timeline adds 18–24 months of uncertainty.

FLAGS EIA incomplete · Permitting timeline

CONDITIONS EIA completed · Permitting timeline confirmed

BLOCKERS EIA at early stage

07 Grid & Transmission Risk Analyst 91%**HARD NO**

No grid connection agreement secured. National Grid queue position is unconfirmed. Transmission costs for Celtic Sea are materially higher than assumed.

FLAGS No grid connection · Transmission cost uncertainty

CONDITIONS Grid connection agreement secured · Transmission cost confirmed

BLOCKERS No grid connection agreement · Queue position unconfirmed

08 Sponsor & Developer Track Record Analyst 68%**SOFT NO**

Developer has fixed-bottom experience but no floating offshore wind project delivered at commercial scale. Management team credibility is adequate but technology gap is material.

FLAGS No floating wind track record · Management gap

CONDITIONS Partnership with floating wind specialist

BLOCKERS No commercial-scale floating wind delivery

09 Insurance & Force Majeure Analyst 85%**HARD NO**

Insurance market for FOAK floating foundations is thin. Construction all-risk and operational coverage is unavailable at commercial terms for this technology at this scale.

FLAGS Insurance market thin · FOAK coverage gap

CONDITIONS Insurance coverage confirmed at commercial terms

BLOCKERS Insurance unavailable for FOAK floating at this scale

10 Refinancing & Capital Markets Analyst 89%**HARD NO**

Refinancing resilience is critically low. No comparable floating offshore wind project has been refinanced in the capital markets. Construction lenders will require significant equity cushion.

FLAGS No refinancing precedent · High equity requirement

CONDITIONS Refinancing pathway demonstrated · Equity cushion "e 35%

BLOCKERS No refinancing precedent for floating offshore wind